PURPOSE CAPITAL

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PROCEDURE · OPERATIONS

# Procedure for the Segregation and Reconciliation of Client Assets

Reference **PC-PRO-SEG-001** · Version **0.9** DRAFT

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| | |
|---|---|
| Owner | Chief Executive Officer |
| Next review | 12 months after adoption |
| Confidentiality | Internal |



Controlled document: only the version published in the online repository is authoritative.
Courtesy translation — the French version prevails.
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# Document control sheet

Courtesy translation — the French version prevails.

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|---|---|---|---|
| **Reference** | PC-PRO-SEG-001 | **Version** | 0.9 — Draft |
| **Title** | Procedure for the Segregation and Reconciliation of Client Assets | | |
| **Type · domain** | Procedure · Operations | **Confidentiality** | Internal |
| **Owner** | Chief Executive Officer | | |
| **Distribution** | Executive Management, operations (desk), accounting, RCCI | | |
| **Effective date** | On adoption | **Next review** | 12 months after adoption |

## APPROVAL WORKFLOW

| Step | Function | Electronic sign-off | Handwritten signature |
|---|---|---|---|
| Drafting | Chief Executive Officer | | |
| Review | Head of Compliance and Internal Control (RCCI) | | Date and signature |
| Approval | Chief Executive Officer | | Date and signature |

## REVISION HISTORY

| Version | Date | Purpose | By |
|---|---|---|---|
| 0.9 | 20 October 2026 | Formatting: adoption dates and signatures moved to the document control sheet | Compliance Officer |
| 0.9 | 20 October 2026 | Initial draft, aligned with the securities account agreement and the Guichet reconciliation screens | Chief Executive Officer |

## REFERENCE TEXTS

| | |
|---|---|
| COSUMAF General Regulation of 23 May 2023<br>Official text · cosumaf.org | Obligations of intermediaries regarding the safekeeping and protection of client assets |
| Regulation No. 01/22/CEMAC/UMAC/CM/COSUMAF of 21 July 2022<br>Official page · cosumaf.org | Separation of client assets from intermediaries' own assets |
| General Regulation of the Single Central Securities Depository<br>Overview · droitmediasfinance.com | Account keeping, book-entry registration, statements to affiliates |
| OHADA Uniform Act on Commercial Companies and Economic Interest Groups (AUSCGIE)<br>Official page · ohada.org | Liability of company officers |
| FCA Handbook — CASS, Client Assets sourcebook (United Kingdom)<br>Official text · handbook.fca.org.uk | Comparable jurisdiction: UK rules on the protection of client securities and cash (reconciliations, acknowledgement letters, discrepancies) |
| SEC — Rule 15c3-3, Customer Protection — Reserves and Custody of Securities (United States)<br>Official text · law.cornell.edu | Comparable jurisdiction: US rule on the protection of a broker-dealer's customer funds and securities |

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# Title I — General provisions

### Article 1 — Purpose

This procedure sets out how Purpose Capital S.A. (the "Company") protects its clients' securities and cash:

- by **separating** them from its own assets, in its books and in the accounts opened with banks, primary dealers in government securities (SVT), the central securities depository and management companies;
- by regularly **checking** that what it holds for its clients matches exactly what it owes them;
- by **correcting** any discrepancy without delay, always in the client's favour.

It implements Article 17 of the Risk Management Policy (PC-POL-RIS-001) and Articles 2 and 3 of the securities account opening agreement (PC-CTR-004).

### Article 2 — Why it is essential

Client assets do not belong to the Company. If the Company became insolvent, its creditors must not be able to seize them; if an error occurred, the client must not bear the loss. A brokerage firm that mixes its own funds with those of its clients, even for a single day and even unintentionally, exposes itself to withdrawal of its licence.

### Article 3 — Definitions

- **Client assets**: securities, units in collective investment schemes (CIS) and cash that belong to clients and that the Company holds, has held or moves on their behalf.
- **Segregated settlement account**: the bank account, opened in the Company's name but on behalf of its clients, through which clients' cash passes and in which it remains. It is separate from any account of the Company.
- **Cash journal**: the register, kept in the Guichet, of every cash movement of every client. It shows what the Company owes to each client.
- **Amount owed to clients**: the sum of the balances of all cash journals at a given date.
- **Reconciliation**: the comparison, at a given date, between what the Company's books show and what third-party statements show (bank, SVT, central securities depository, management companies).
- **Discrepancy**: any difference found during a reconciliation. A **shortfall** is a discrepancy where the Company holds less than it owes; an **excess** is a discrepancy where it holds more.

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# Title II — Segregation of assets

### Article 4 — Securities

- Clients' securities are registered **in the name of each client**, in a named sub-account opened under the Company's omnibus account, with the designated account keeper: an SVT for government securities, the central securities depository for listed securities.
- CIS units are registered **in the client's name** in the fund's register.
- The Company holds no securities of its own in its clients' sub-accounts. If it ever holds securities for its own account, they are registered in a separate own account.
- The Company does not lend, pledge or use in any way a client's securities without the client's specific written consent.

### Article 5 — Cash

- Clients' cash is received, held and paid out **solely through the segregated settlement account**.
- Each movement is recorded in the cash journal of the client concerned. A recorded movement is never amended: an error is corrected by an offsetting entry.
- Sums due to the client remain in the account for as long as the client wishes. They are paid out only at the client's request, to the bank account declared in the client's name, within seventy-two business hours.
- The Company never uses this cash for its own account, never gives it as collateral and never mixes it with its own treasury.
- An investment in money market CIS units is made only at the client's request or with the client's consent, and in the client's name.

### Article 6 — Incoming transfers

As the settlement account is shared by all clients, a transfer can be allocated to a client only by its payment reference. The desk:

- records each credit on the statement as soon as it is read, even if it does not yet know to whom it belongs;
- allocates the credit to the client after checking the payment reference, the name of the payer and the amount; a system may propose a match, a person confirms it;
- treats any credit not allocated after **three business days** as a priority, and informs the RCCI after **five business days**;
- returns to the sender any transfer coming from a third party, in accordance with the AML/CFT Policy.

### Article 7 — Own funds in the client account

In principle, the segregated settlement account contains no own funds of the Company. By way of exception, the Chief Executive Officer may leave in it an own-funds **buffer**, of an amount set in writing, to cover bank charges and settlement timing differences. This buffer:

- is recorded in a separate journal, in the Company's name;
- may be withdrawn only if the latest reconciliation shows no shortfall;
- may never be used to conceal a lasting shortfall.

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Commissions and fees due to the Company are taken from the client account only once they are due, on the basis of a notice entered in the client's journal, and are then transferred to the Company's own account at least once a week.

### Article 8 — Accounts opened and notice to third parties

The desk keeps a list of all accounts in which client assets are held (Appendix "Client asset accounts"). For each one, the Company obtains from the account keeper an **acknowledgement letter** (Appendix "Acknowledgement letter") by which the account keeper acknowledges that:

- the account contains assets belonging to the Company's clients, and not to the Company;
- it may not set them off against a debt of the Company or exercise any right of retention or security over them;
- it must disclose this in the event of an attachment or insolvency proceedings against the Company.

No new account receives client assets until the letter has been signed or, failing that, until the RCCI has given written and reasoned consent.

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# Title III — Reconciliations

### Article 9 — Daily cash reconciliation

Each business day, before noon, the desk compares:

- the **amount owed to clients** at the previous day's close, calculated by the Guichet from the cash journals;
- the **balance of the segregated settlement account** at the same date, as shown on the bank statement, less any own-funds buffer.

It records the reconciliation in the Guichet with the supporting document (the day's statement) and Appendix “Cash reconciliation”. A discrepancy is never recorded without an explanation.

### Article 10 — Securities reconciliation

- **Each business day** on which there has been a movement: the desk checks that each purchase, sale, subscription, redemption, coupon or repayment appears both in the Guichet and on the account keeper's notice or statement.
- **Each month**, on the last business day: the desk compares, line by line and client by client, the positions held in the Guichet with the statements of the central securities depository, the SVTs and the CIS registers (Appendix “Securities reconciliation”).

### Article 11 — Full monthly reconciliation

Each month, the desk prepares a full reconciliation of cash and securities, signed by the desk and checked by the RCCI within the following five business days. It includes the list of open discrepancies and their status.

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# Title IV — Discrepancies

### Article 12 — Analysis and deadlines

| Situation | Deadline | Who | Action |
|---|---|---|---|
| Any discrepancy | Same day | Desk | Investigation of the cause; entry in the register of discrepancies (Appendix “Discrepancies register”) |
| Unexplained discrepancy | 2 business days | Desk, then RCCI | Incident report (PC-POL-RIS-001, Appendix “Incident report form”) |
| Shortfall, whatever the amount | Same day | Chief Executive Officer | Immediate coverage from own funds (Article 13) |
| Unresolved discrepancy | 5 business days | Chief Executive Officer and RCCI | Chairman of the Board of Directors informed |
| Uncovered shortfall, or unresolved discrepancy | 10 business days | Chief Executive Officer | COSUMAF informed |

### Article 13 — A shortfall is always covered, and immediately

If the reconciliation shows that the Company holds **less** than it owes its clients, the Chief Executive Officer has the missing amount transferred the same day from the Company's own account to the segregated settlement account, without waiting to know the cause. For a missing security, the Company buys back the security or compensates the client.

The search for the cause then continues. If it shows that the Company was not responsible, the Company may recover the amount advanced from the party responsible, never from the client.

### Article 14 — No offsetting to a client's detriment

A discrepancy is never offset against another: an excess on one client does not cover a shortfall on another. An excess whose origin has not been established remains in the segregated account, recorded as pending, until it is identified; it is not transferred to the Company.

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# Title V — Information and control

### Article 15 — Information to clients

Each client can view their positions and cash journal at any time in their client area. They receive, free of charge, a statement of positions at least quarterly and on request. Any error that affected them is reported to them and corrected, with a notice of the correcting entry.

### Article 16 — Segregation of duties

The person who performs the reconciliation is not the person who posted the day's movements, where staffing allows. Otherwise, the RCCI's check of the monthly reconciliation and one surprise check per quarter serve instead. Bank access requires two signatures for any outgoing transfer from the segregated account.

### Article 17 — Controls

| Level | Who | What | When |
|---|---|---|---|
| First level | Desk | Cash reconciliation; allocation of incoming transfers | Each business day |
| First level | Desk | Line-by-line securities reconciliation | Each month |
| Second level | RCCI | Check of the full monthly reconciliation and of the register of discrepancies | Each month |
| Second level | RCCI | Surprise check of a daily reconciliation; verification of acknowledgement letters | Each quarter |
| Third level | Annual independent review | Effectiveness of the segregation framework | Each year |

The statutory auditors are informed of significant discrepancies during the financial year.

### Article 18 — Retention

Reconciliations, statements, registers and acknowledgement letters are kept for **ten years**.

### Article 19 — Entry into force

This procedure enters into force on the date of its approval, as shown in the document control sheet. It is reviewed each year and whenever there is a change of bank, account keeper or account structure.

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